THE BIG IDEA CANVAS

EXPLAIN YOUR BIG IDEA IN ONE SENTENCE:

DEVELOPED BY:

DATE:

THE BIG IDEA HYPOTHESIS

The output of this worksheet is to create a hypothesis that you can go out and test. Writing down a Big Idea Hypothesis forces you to focus and clarify what you believe before you talk to potential customers or build prototypes (see *Nail It Then Scale It*, p. 69-73).

The best tool we have found for formulating your Big Idea Hypothesis is found in Geoffrey Moore's book, *Crossing the Chasm*. Moore calls it the "elevator message," but we use it for the Big Idea Hypothesis. The steps of the Big Idea Hypothesis are:

1. For (target customer)
2. Who (statement of the monetizable pain)
3. The (product name) is a (product category)
4. That (statement of key benefit)
5. Unlike (primary competitive alternative)
6. Our Solution (solution and primary differentiation)

EXAMPLE 1 – Using this format, let's take a look at a potential Big Idea Hypothesis for Surf Air, a subscription-based airline startup headquartered in Santa Monica, CA.

"(1) For the frequent, wealthy business traveler (2) who dislikes the airport experience, specifically checking in, going through security, waiting at the terminal, and picking up luggage, yet doesn't have enough wealth to buy a private jet, (3) Surf Air is an airline that (4) allows the traveler to skip all the hassle of the airport experience and have access to a private jet experience without the cost. (5) Unlike traditional airlines, Surf Air (6) is a subscription-based airline, which employs small, luxury planes that can be used by customers like private jets."

EXAMPLE 2 – As an another example, the following is the Big Idea Hypothesis Paul Ahlstrom created for his software company, Knowlix.

"(1) For the Internal IT Help Desk managers of large corporations who (2) have dissatisfied customers and are out of compliance with their Customers' Service Level Agreements because each front-line support representative is unable to capture and share knowledge so they can answer customers' technical questions and problems in a timely manner, (3) Knowlix is an IT Knowledge Management Solution that (4) allows the front-line IT Customer Support Reps to capture issues within their existing workflow and provide accurate answers in real-time to their corporate customers. (5) Unlike Inference, Knowlix (6) integrates large amounts of unstructured data into the existing workflow of Remedy, Peregrine, and other leading IT Help Desk systems, thus allowing the frontline support rep to answer the question on the first call."

YOUR BIG IDEA HYPOTHESIS

Now that you have a foundational understanding of the Big Idea Hypothesis, let's create one for your big idea (see *Nail It Then Scale It*, p. 71).

By using the answers you provided on the other side of this Canvas, you can piece together a Big Idea Hypothesis that will help focus your efforts and share a clear message as you talk about your big idea with others. So let's go retrieve each step of the Big Idea Hypothesis.

1. For (target customer): Copy your answer to Question 1.1

2. Who (statement of monetizable pain): Copy your answer to Question 1.3

3. The (product name) is a (product category): Copy your answer to Question 3.1

4. That (statement of key benefit): Copy your answer to Question 3.2

5. Unlike (primary competitive alternative): Copy your answer to Question 4.2

6. Our Solution (solution and primary differentiation): Copy your answer to Question 3.5

With all the steps identified and written down, you can now stitch them together to create one, unified Big Idea Hypothesis. Give it a try below.

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1. PAIN OF THE CUSTOMER

1. Who's your target customer? (see *Nail It Then Scale It*, p. 81)

2. What's the job your customer is trying to perform? *

3. What's the pain your customer is experiencing while doing the job?

4. How big is the pain the customer is feeling?

1	2	3	4	5
Mosquito Bite	Spider Bite	Jellyfish Sting	Dog Bite	Shark Bite

5. How often are customers feeling the pain?

1	2	3	4	5
Infrequently	Monthly	Weekly	Daily	2X Daily +

6. What's the pain score? (multiply answers to questions 4 & 5) ☐

7. How much market knowledge do you have to understand the pain?

NONE JV VARSITY PRO

2. POTENTIAL OF THE MARKET

1. How many customers are experiencing the pain?

1	2	3	4	5
A Few	Hundreds	Thousands	Millions	Billions

2. Sustainability? Can you provide the solution to customers profitably?

1	2	3	4	5
Nope	I Hope So	I Think So	Most Likely	Absolutely

3. What's the current overall size and growth of the market?

1	2	3	4	5
Small & Slow	Big & Slow	Nonexistent /Big Potential	Big & Fast	Small & Fast

4. Will your solution greatly affect the size and growth of the market?

0 – NO 3 – I THINK SO 5 - YES

5. What are the key growth drivers for the market? (e.g., government regulations, changes in technology, changes in consumer behavior, etc.)

6. What's the financial potential of a business that solves the pain? (add answers to questions 1 – 4)

4	8	12	16	20
Taco Stand	Low Growth	Lifestyle	High Growth	Unicorn

3. PRESCRIPTION FOR THE PAIN

1. What's the name of your proposed solution to the pain?

2. Describe your proposed solution to the pain and its key benefits.

3. How distinct is your solution from what already exits?

1	2	3	4	5
Cut & Pasted	Almost Identical	Middle of Road	Very Different	Night & Day

4. What types of innovation are you using to differentiate yourself?

☐ Technological ☐ Customer Experience ☐ Design
☐ Business Model ☐ Business Process ☐ Marketing
☐ Service ☐ Product Performance ☐ No Innovation
☐ Supply Chain ☐ Distribution Channel ☐ Other _____

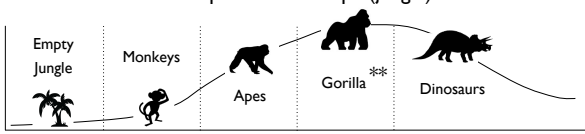
5. What are the primary differentiators of your solution?

6. How much domain expertise do you have to solve the pain?

NONE JV VARSITY PRO

4. POSITIONING IN THE MARKET

1. What does the competitive landscape (jungle) look like?



2. Name the current market gorilla (i.e., market leader).**

☐ NONE

3. Are you competing head on with a gorilla for the same customer?

YES NO N/A PARTNERING

4. Who goes out of business if you win? (industries/companies)

5. Based on the proposed solution, what's your market-entry strategy?

☐ **Face Punch Strategy**
Compete head-to-head with market leaders for existing customers with a solution that is similar to existing offerings (i.e., no innovation).

☐ **Greenfield Strategy**
Create a brand new market category where competition is non-existent; create new customers and draw customers in from other markets.

☐ **Bolt-on Strategy**
Extend an existing market by adding a product or service onto the market's current offerings; partner with market leader (i.e., incremental innovation)

☐ **Geographic Strategy**
Import proven business models and innovations from one country to another (i.e., geographic innovation).

☐ **Breakthrough Strategy** 10x
Develop products that are 10x better than market leaders; competing for same customers with high "switching costs" (i.e., 10x innovation).

☐ **Disruptive Strategy***
Target unmet needs of underserved customers at the low end of an existing market; competitors flee up market rather than fight for the low end.

5. PATH TO THE EXIT

1. How large is the universe of potential buyers for the company?

1	2	3	4	5
A Few	Ten	Twenty	Fifty	A Hundred

2. Who are the top likely potential buyers of the company?

3. Do you plan to engage in partnerships with them? If so, how?

4. Do you currently have access to relevant distribution channels?

YES NO SORT OF N/A

5. What's the overall likelihood of the company becoming acquired?

1	2	3	4	5
Never Ever	Long Odds	50/50	Very Likely	A Sure Bet

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www.nailthenscale.com

* Concept by Clayton M. Christensen. ** Concept by Geoffrey Moore.

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